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Chapter 2

Foundation of Planning

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Learning Outcomes

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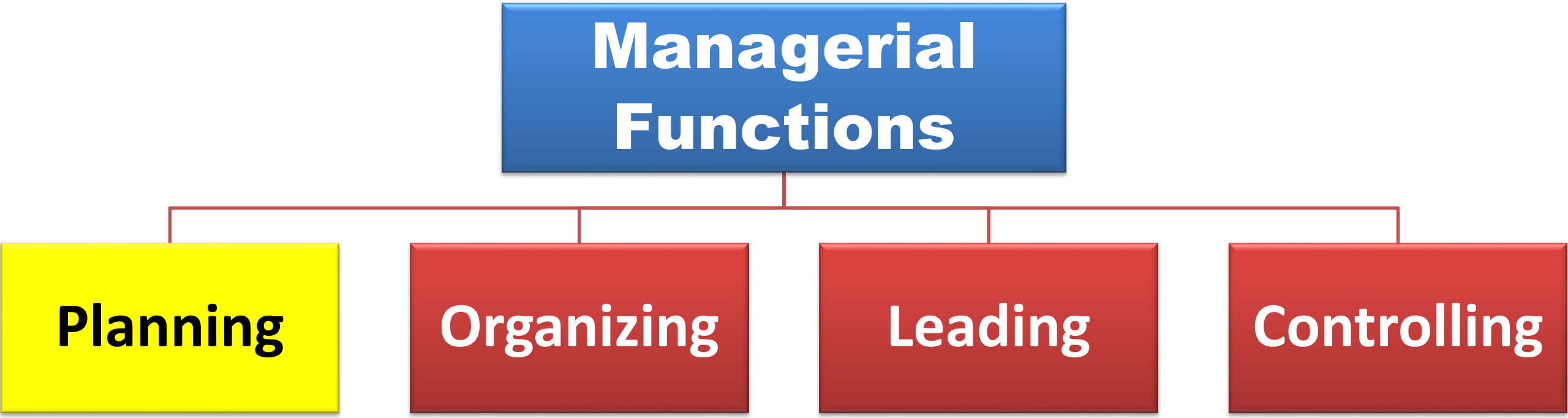
1. Define the nature and purposes of planning
2. Elements of Planning
3. Goal Setting Approaches
4. Types of Plans
5. key contingency factors in planning


Managerial Functions
Planning
Organizing
Leading
Controlling

What Is Planning

Planning

- Planning encompasses
  - Defining the organization's objectives or **goals**
  - Establishing an overall **strategy** for achieving these goals,
  - Developing a comprehensive hierarchy of **plans** to integrate and coordinate activities.
- It is concerned
  - with **ends** (what is to be done)
  - as well as with **means** (how it is to be done).

Types of planning

- **Formal:** written, and long-term focus, involves shared goals for whole the organization.
  - Advantage: ensures alignment and accountability for large-scale goals

Example: A multinational tech company drafts a 4-year plan to enter Asian markets, launch AI-driven products, and achieve 20% revenue growth.

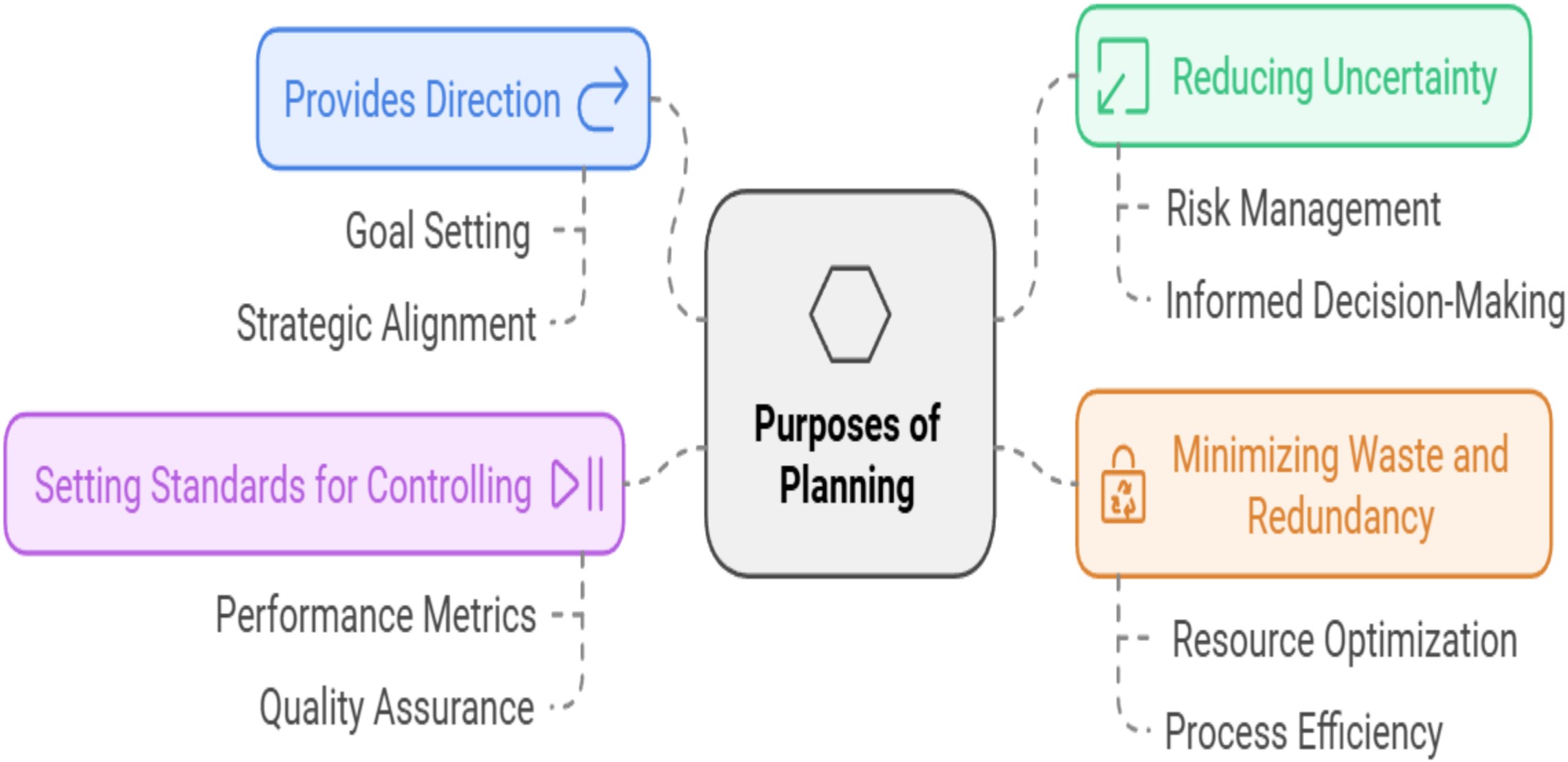
Formal Traits: Documented in a detailed report, approved by the board, and communicated globally. Aligns R&D, marketing, and finance teams toward shared objectives

- **Informal:** not written down, short-term focus; specific to an organizational unit, lack continuity.
  - Advantage: offers agility for immediate, localized challenges

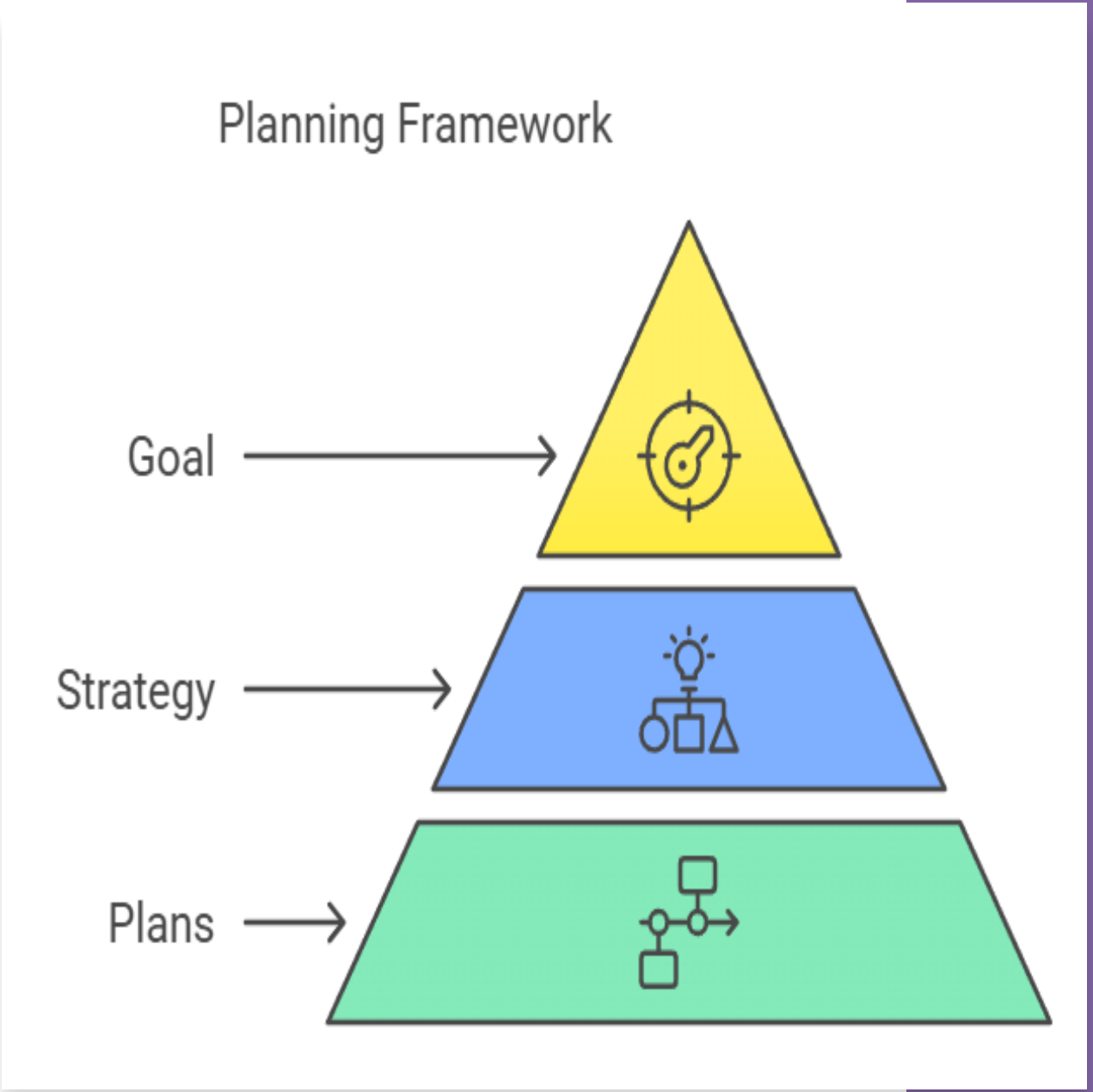
Example: Restaurant Daily Adjustments

A café manager shifts staff schedules and adds soup specials due to rainy weather, decided in a 10-minute team huddle.

Informal Traits: Verbal instructions, no documentation. Addresses immediate needs (weather, customer flow).


Purposes of Planning
Provides Direction
Goal Setting
Strategic Alignment
Reducing Uncertainty
Risk Management
Informed Decision-Making
Setting Standards for Controlling
Performance Metrics
Quality Assurance
Minimizing Waste and Redundancy
Resource Optimization
Process Efficiency

Elements of Planning



Goals Vs Objectives

Feature	Goal	Objective
Scope	**Broad**: Goals paint a big picture of what you want to achieve.	**Specific**: Objectives outline the concrete steps needed to achieve a goal. They are clearly defined and quantifiable.
Time frame	**Long-term**: Goals typically have a longer time horizon, often spanning a year or more.	**Short-term**: Objectives are usually set for a shorter time frame, such as a quarter or a few months.
Nature	**Qualitative**: Goals are often expressed in general terms and may not be easily measurable.	**Quantitative**: Objectives describe specific actions that need to be taken.
Focus	**Direction**: They provide overall direction and purpose.	**Action**: Objectives describe specific actions that need to be taken.
Example	• Increase brand awareness • improve customer satisfaction • become a market leader.	• Increase website traffic by 20% in the next quarter • achieve a customer satisfaction rating of 4.8 out of 5 by year-end • launch 3 new products this year.

Types of Goals

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Financial Goals

Focus on internal financial performance (e.g., increase profit).

Strategic Goals

Focus on external factors (e.g., increase customer loyalty).

Stated Goals versus Real Goals

Stated Goals

- Official statements of what an organization says and what it wants various publics to believe.
  - **Example**: A company might publish a sustainability report or make official statements promising to reduce its carbon footprint by 50% over the next decade. This stated goal is intended to show stakeholders that the company is committed to environmental responsibility.

Real goals

- Objectives that an organization actually pursues, as defined by the actions of its members (what actually goes on in the organization).
  - **Example**: Prioritizing cost-cutting measures over green initiatives, thus rely heavily on fossil fuels.

SMART Goals

Specific

Goals must be clear and unambiguous, answering the who, what, where, when, and why.

Measurable

Goals must include quantifiable criteria to track progress and determine success.

Achievable

Goals must be realistic and attainable given available resources (time, budget, skills).

Relevant

Goals must align with broader organizational or personal priorities.

Time-bound

Goals must have a defined deadline to create urgency and focus.

SMART Goals

Nike Goal: Increase market share by 5% in the Casual wear segment for women aged 18-35 in the United States by the end of 2026.	
Specific	This goal clearly defines: • the desired outcome (increased market share). • the target audience (women aged 18-35 in the US) • the market segment (Casual wear)
Measurable	Increase market share by **5%.**
Achievable	Increasing market share in a specific segment by 5%. Over 12 months is an achievable goal with the right strategies. This could involve new product lines, marketing campaigns, collaborations with influencers, etc.
Relevant	This goal aligns with Nike's overall business objective of growth and dominance in the athletic wear market. The Casual wear segment is a growing market, and focusing on young women is crucial for long-term success.
Time-bound	Clear deadline (By the end of 2026)

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ACTIVITY WORKS

SMART Goals

Apple Goal: Increase customer adoption of Apple Pay in Egypt.	
Specific	
Measurable	
Achievable	
Relevant	
Time-bound	

SMART Goals

Apple Goal: Increase customer adoption of Apple Pay in Egypt.	
Specific	This goal clearly defines: • desired outcome (increased customer adoption). • target Market (Egypt) • specific product (Apple Pay)
Measurable	✖
Achievable	Increasing adoption is achievable through targeted marketing campaigns, partnerships with retailers, and highlighting the convenience and security of Apple Pay.
Relevant	This goal aligns with Apple's strategic objective of expanding its services business and increasing revenue from Apple Pay. Growing adoption in a key market like the Egypt is crucial for achieving this objective.
Time-bound	✖

Goal-setting approaches

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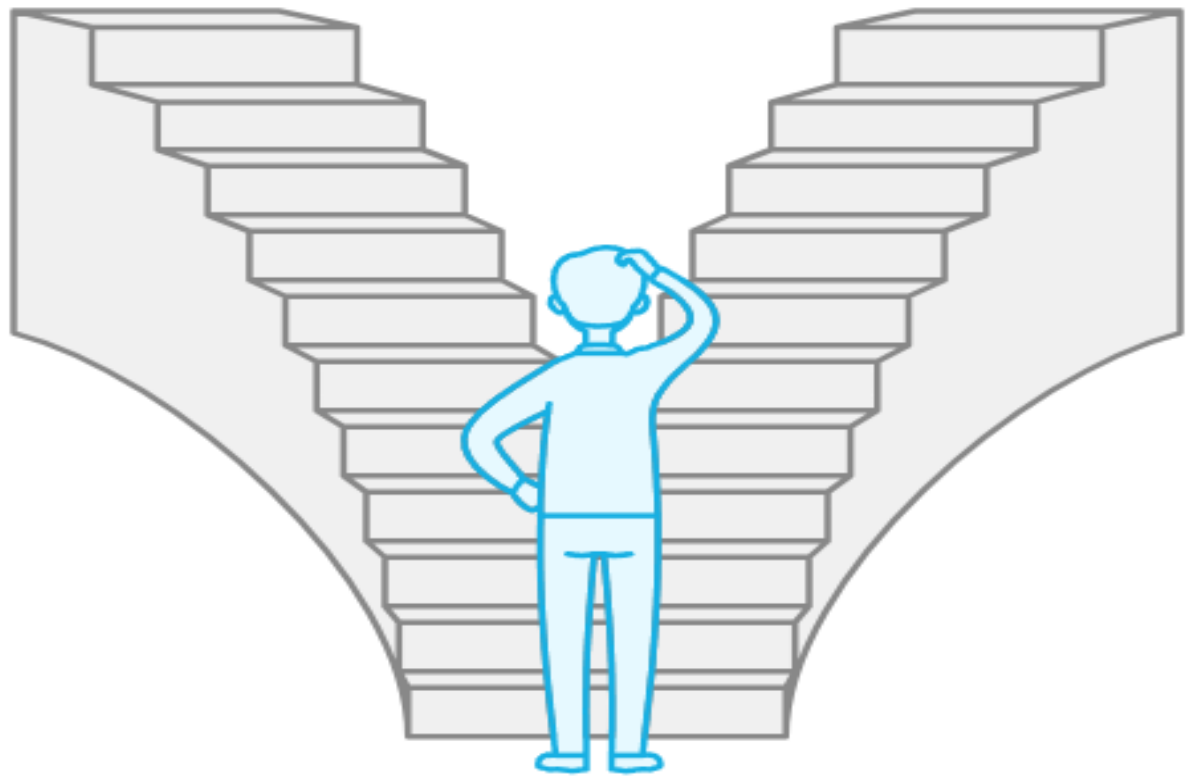
Traditional Goal Setting

Simple, clear, and straightforward.

Management by Objectives (MBO)

Collaborative, aligns goals with organizational objectives.



Traditional Goal Setting

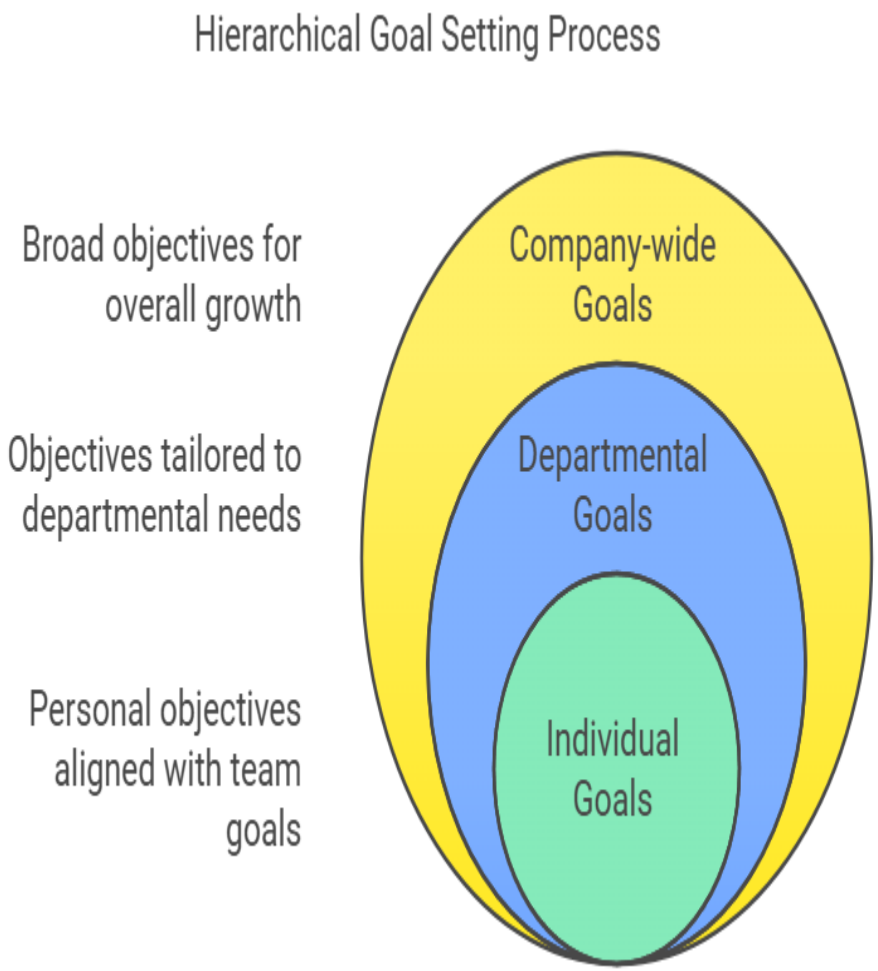
This is a top-down approach where leadership sets overarching goals for the company.
These goals are then cascaded down through the organization, with each level defining more specific objectives to contribute to the overall targets.

•Process:

- **Define company-wide goals:** Often broad and focused on long-term outcomes (e.g., increase market share, improve profitability).
- **Breakdown into departmental goals:** Each department translates the company goals into relevant objectives for their area.
- **Individual goals:** Employees set individual goals aligned with departmental and company objectives.

•Characteristics:

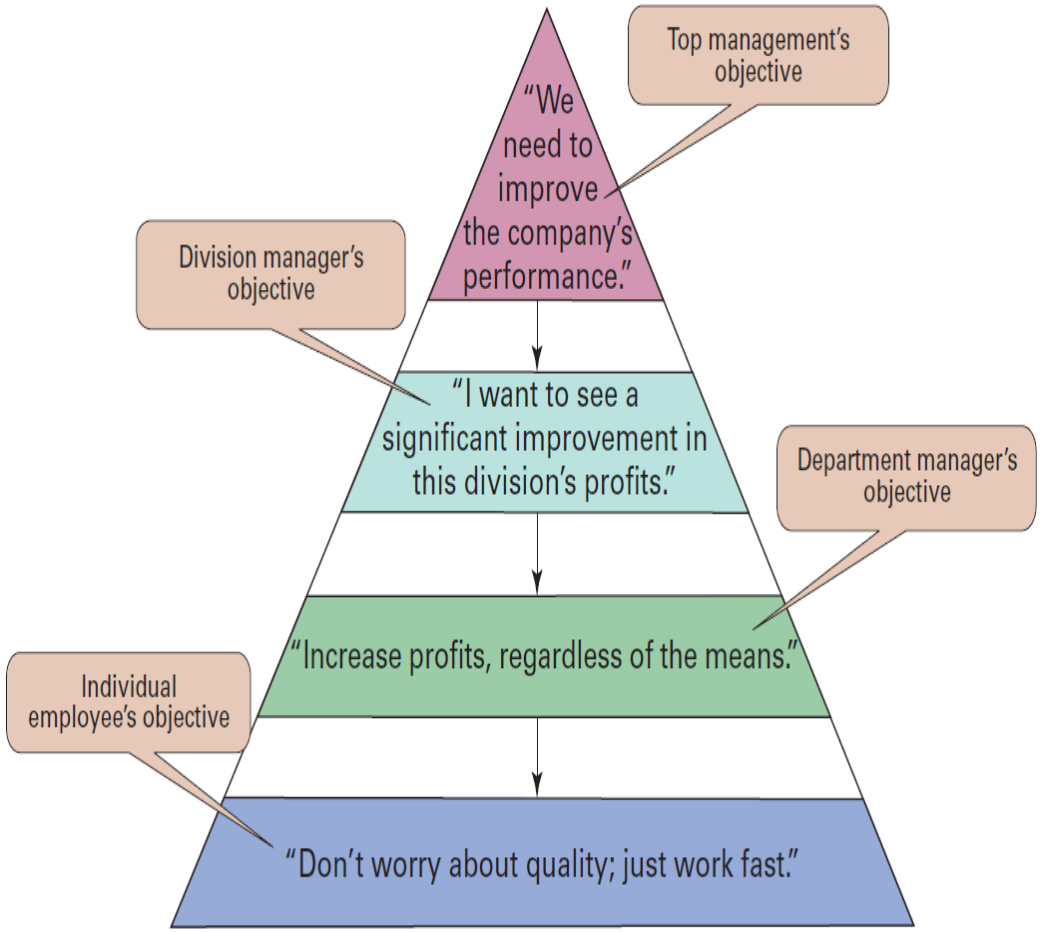
- **Hierarchical:** Goals flow downwards, emphasizing alignment with the top-level vision.
- **Less employee involvement:** Employees may have limited input in setting their own goals.
- **Focus on achieving targets:** Strong emphasis on meeting predefined metrics and deadlines.



Traditional Goal Setting

Traditional Goal Setting Disadvantages:

- **Goals lose clarity and focus** as lower-level managers attempt to interpret and define the goals for their areas of responsibility.
- **Lack of Employee Engagement:** When goals are imposed from the top down, employees may feel less ownership and commitment to achieving them. This can lead to decreased motivation and lower performance.
- **Inflexibility:** Traditional goal setting can be rigid and may not adapt well to changing circumstances.



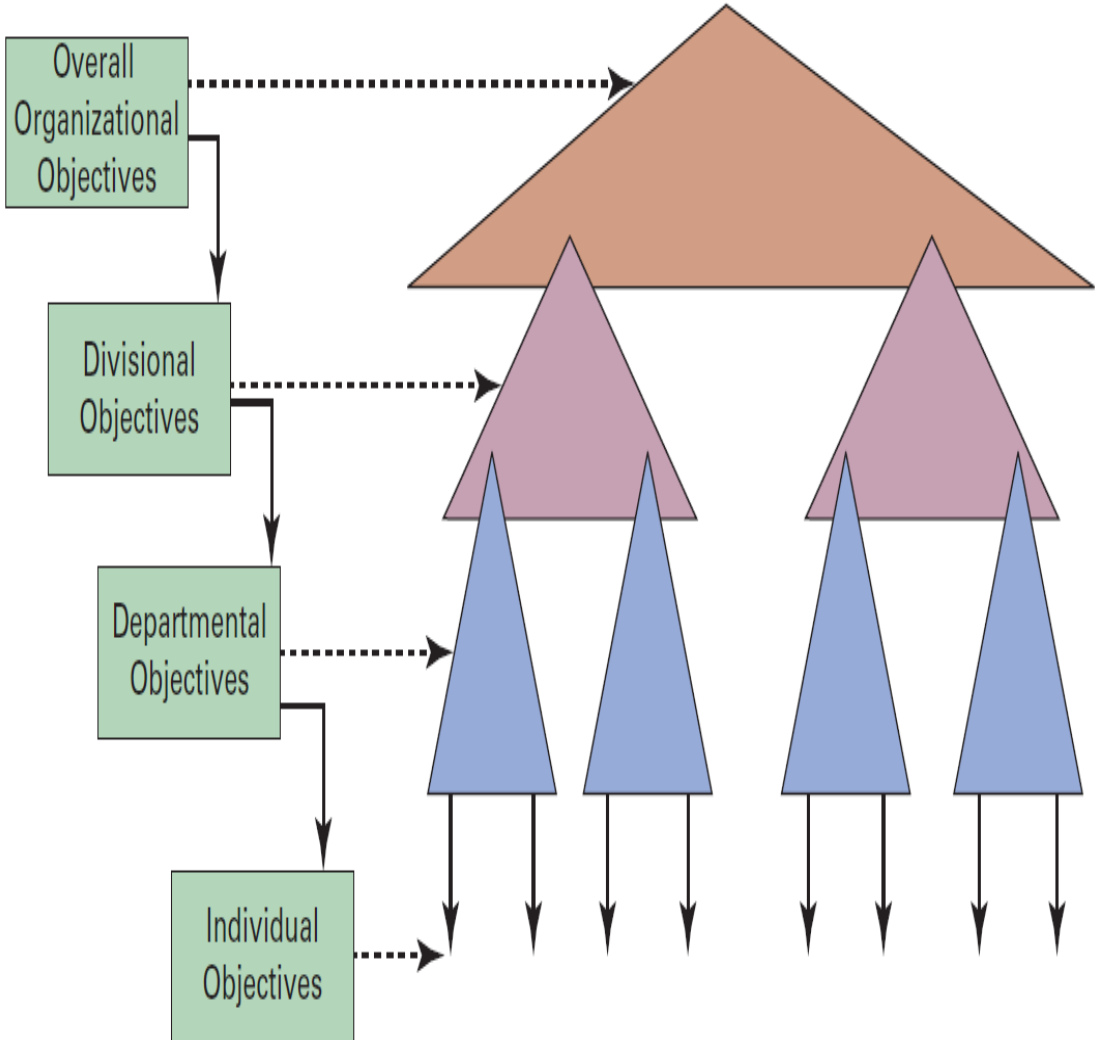
2. Management by Objectives (MBO)

MBO is a more collaborative approach where managers and employees collaboratively define, align, and track objectives to ensure organizational and individual goals are met.

Cascading objectives

The organization's overall objectives are translated into specific objectives for each succeeding level.

- **Characteristics:**
  - **Participative:** Encourages employee involvement and ownership of goals.
  - **Focus on the process:** Emphasizes the importance of planning, monitoring, and feedback.
  - **Increased motivation:** Employees are more motivated when they have a say in setting their goals and understand how their work contributes to the bigger picture.



2. Steps of (MBO)

1.Define Organizational Objectives

- Senior leadership sets high-level, measurable goals aligned with the company's mission and vision.
- *Example: "Increase annual revenue by 15% by Q4 2024."*

2.Cascade Objectives to Departments/Teams

- Department heads break down organizational goals into team-specific objectives.
- Example: *Sales Team Goal: "Boost sales of Product X by 20%."*
  Marketing Team Goal: "Generate 1,000 qualified leads per month."

3.Collaborative Goal Setting (Manager-Employee Alignment)

- Managers and employees jointly set **SMART goals** (Specific, Measurable, Achievable, Relevant, Time-bound).
- Example: *A sales representative agrees to "Close 50 deals per quarter by focusing on upselling to existing clients."*

4.Develop Action Plans

- Employees outline steps to achieve their goals, with support from managers (training, resources, tools).
- Example: *Action Plan: "Attend advanced sales training, prioritize client check-ins twice weekly, and use CRM software to track progress."*

2. Steps of (MBO)

5. **Monitor Progress Regularly**
   - Managers and employees review progress through periodic check-ins (e.g., monthly/quarterly).
   - Example: Monthly review meetings to assess deal closures and adjust strategies if targets are lagging.

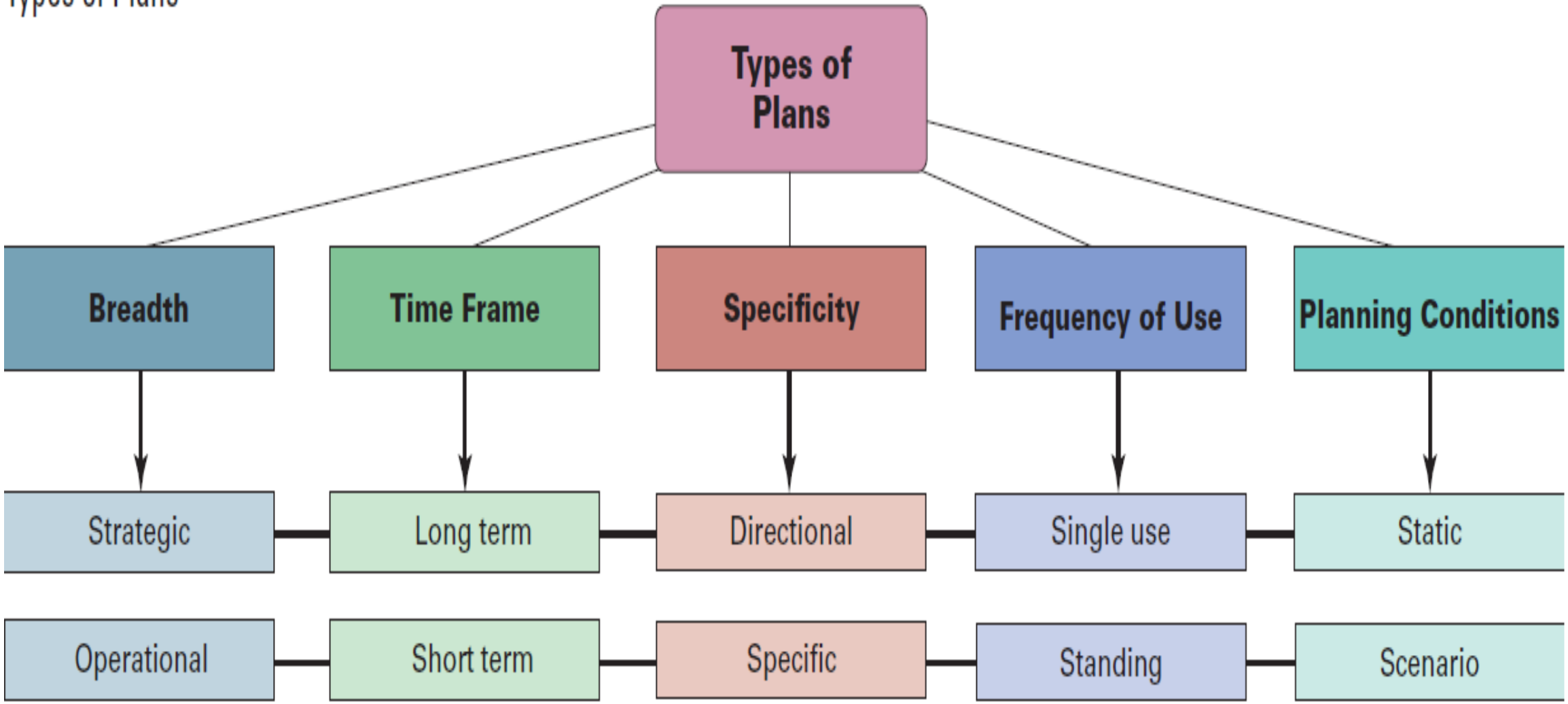
6. **Evaluate Performance and Provide Feedback**
   - At the end of the cycle, performance is measured against objectives.
   - Constructive feedback is shared, and gaps are analyzed.
   - Example: "You achieved 45/50 deals. Let’s refine your follow-up process to hit the next target."

7. **Reward Achievements and Adjust Objectives**
   - Successful outcomes are rewarded (bonuses, promotions).
   - Unmet goals trigger adjustments to objectives, resources, or strategies.
   - Example: Top performers receive a 5% bonus; underperforming teams revise tactics for the next quarter.

Plans

Types of Plans

Types of Plans



1- Breadth

Strategic plans

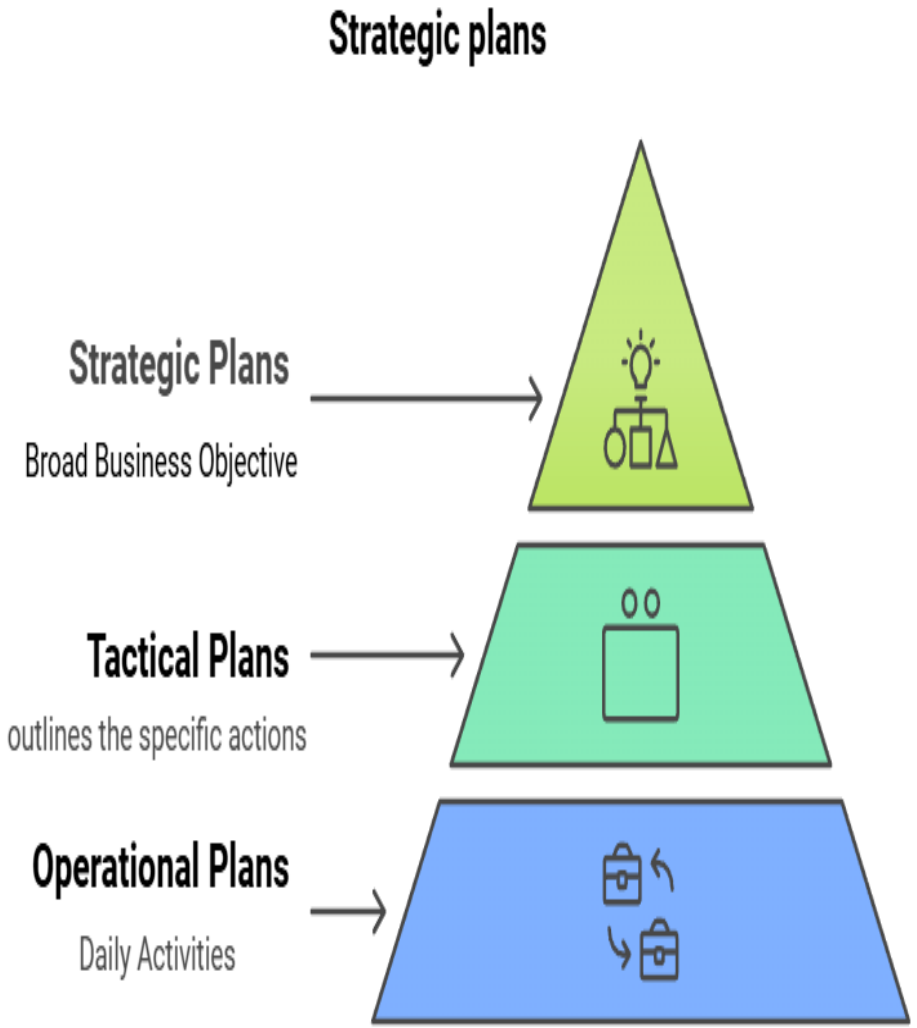
- Plans that apply to the entire organization, that **establish** the **organization's overall objectives**, and that seek to position the organization in terms of its Environment.

Tactical plans

- Plans that outlines the **specific actions and initiatives** that a department, team, or functional area within an organization will take to achieve the objectives set out in the strategic plan

Operational plans

- Plans that specify the **details the specific actions** and steps required to implement a particular tactic or initiative.



Example: Strategic Plan

Example: "Koffee Kulture" that currently operates chain of coffee shops in Egypt. They develop a **strategic plan to expand their business into Gulf market (e.g., UAE, Saudi Arabia, Qatar, Kuwait), within the next five years**.

This strategic plan would encompass:

•**Environmental Analysis:** Research **Gulf** coffee consumption habits, competitor landscape (local cafes and international chains), cultural preferences, and regulatory environment.

•**Overall Objective:** Become a recognized and preferred coffee brand in major **Gulf** cities.

•**Positioning:** Establish **Koffee Kulture** as a premium coffee brand offering high-quality focus on sustainability and community engagement.

Strategic Objective

To establish **Koffee Kulture Egypt** as a recognized premium Arab coffee brand in key Gulf cities (Riyadh, Jeddah, Dubai, Doha) within 5 years.

•Strategic Plan:

- **Market Entry:** Decide on the entry method (e.g., franchising, joint ventures, opening company-owned stores).
- **Branding and Marketing:** Develop a marketing strategy adapted to **Gulf** preferences, potentially emphasizing the brand's Egyptian origin and unique selling points.
- **Supply Chain:** Establish a reliable supply chain for sourcing coffee beans and other necessary supplies in Gulf.
- **Human Resources:** Develop a plan for hiring and training employees in accordance with local labor laws.

Strategic plans	Tactical plans	Operational plans	Metrics/ KPIs
Market Entry	**Establish a presence in 3 major Gulf cities (Riyadh, Jeddah, Dubai, Doha) within 2 years.**	• **Market Research:** Conduct thorough market research in each target city to analyze consumer preferences, competitor landscape, and real estate options. • (**Timeline**: within 6 months)	**Completion Rate of Market Research Reports**: **Target**: 100% of target cities have completed market research reports by month 6. **Measurement**: Number of cities with finalized reports / Total target cities. **Consumer Preference Analysis Depth**: **Target**: At least 3 key consumer preference trends identified per city (e.g., product preferences, price sensitivity, brand perception). **Measurement**: Average number of trends documented per city report. **Competitor Coverage**: **Target**: Identify Local & international major competitors per city and provide intensive analysis about each one. **Measurement**: Number of competitors profiled per city.
		• **Entry Mode Selection:** Based on research findings, select the most suitable entry mode for each city. This could involve a combination of company-owned stores, franchising, or joint ventures with local partners. (**Timeline**: 9 months)	**Entry Mode Decision Completion**: **Target**: 100% of target cities have a selected entry mode by month 9. **Measurement**: Number of cities with finalized entry mode decisions / Total target cities. **Alignment with Research Findings**: **Target**: 100% of entry mode selections supported by market research data (e.g., consumer trends, competitor analysis). **Measurement**: Percentage of decisions with documented research justification.
		• **Location Acquisition:** Secure prime retail locations in high-traffic areas of each city. (**Timeline**: within 12 months)	**Location Acquisition Rate**: **Target**: Secure retail locations in 100% of target cities by month 12. **Measurement**: Number of cities with secured locations / Total target cities. **High-Traffic Location Compliance**: **Target**: 90% of secured locations meet high-traffic criteria (e.g., foot traffic >10,000 daily passersby or equivalent metric). **Measurement**: Percentage of locations meeting traffic criteria.

Strategic plans	Tactical plans	Operational plans	Metrics/ KPIs
Branding and Marketing	• Achieve 20% brand awareness in target cities within 1 year of launch.	• **Brand Adaptation:** • Refine brand messaging and visual identity to resonate with Gulf consumers • The brand must adapt to Gulf preferences while keeping Egyptian roots.	**Brand Messaging Completion Rate**: **Target**: 100% of refined brand messaging and visual identity assets completed for all target Gulf markets. **Measurement**: Number of markets with finalized messaging and assets / Total target markets. **Consumer Resonance Score**: **Target**: Achieve an average consumer resonance score of 8/10 in focus group testing across target markets. **Measurement**: Average score from focus group feedback on messaging and visual identity.

		• **Marketing Campaign:** Launch a multi-channel marketing campaign including:
		  • **Digital Marketing:** Develop a localized website and social media presence, run targeted online ads, engage with local influencers.
		  • Strong Instagram and TikTok presence.
		  • Influencer collaborations with Gulf lifestyle creators.
		  • Participation in coffee festivals (e.g., Saudi Coffee Expo).
			Social Media Engagement Rate:
			Target: Achieve an average engagement rate of 5% (likes, comments, shares) on social media posts across platforms.
			Measurement: Total engagement / Total impressions per platform, averaged across markets.
			Online Ad Conversion Rate:
			Target: Achieve a 2% conversion rate (e.g., clicks to sign-ups or purchases) on targeted online ads.
			Measurement: Number of conversions / Total ad clicks across campaigns.

2- Times Frame

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Short-Term Plans:

•Timeframe: **Typically, less than a year,** often focusing on the next few weeks or months**.**

•Characteristics: **Highly specific, actionable, and focused on immediate tasks or projects.**

•Examples:

- **Business:** Launch a new product within the next quarter, hire 3 new employees for the sales team this month, reduce customer support response time by 10% in the next two months.

Intermediate-Term Plans:

•Timeframe: **Generally 1 to 3 years,** bridging the gap between short-term actions and long-term goals.

•Characteristics: **More broadly focused than short-term plans, outlining key milestones and initiatives to achieve within a defined period.**

•**Examples:**

- **Business:** Increase market share by 5% in the next year, expand into a new regional market within two years, implement a new customer relationship management (CRM) system within 18 months.

Long-Term Plans:

•Timeframe: **Extends beyond 3 years,** often encompassing a vision for the future and overarching goals.

•Characteristics: **Focuses on broad, strategic objectives and the overall direction of an individual or organization.**

•**Examples:**

- **Business:** Become a market leader in the industry within 5 years, expand globally within 10 years, achieve sustainable profitability and long-term growth.

3- Specificity

Directional Plans:

These plans are flexible and set out general guidelines rather than rigid instructions. They provide a broad framework and allow for adjustments based on changing circumstances.

Example

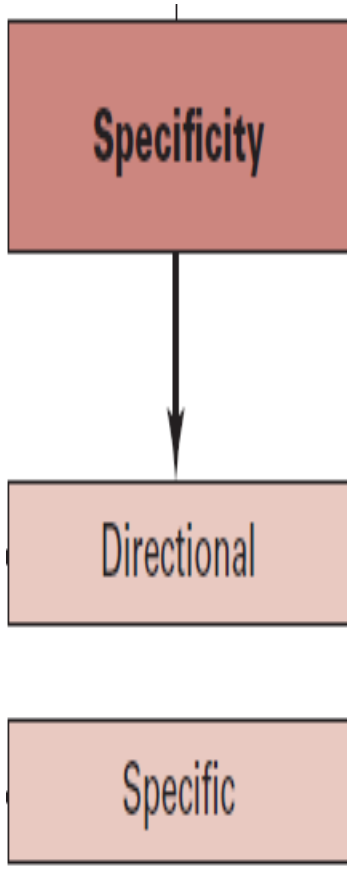
Marketing Strategy: A company develops a directional plan to **increase brand awareness** among young adults, outlining target demographics and key message themes but allowing marketing teams to experiment with different channels and creative campaigns.

Specific Plans:

These plans are highly detailed and leave no room for interpretation. They outline precisely **what** needs to be done, **how** it should be done, and **when** it should be done.

Example:

Production Plan: A manufacturing company creates a specific plan to **produce 1,000 units** of a product per day, outlining the **exact materials needed**, **production schedule**, **quality control checks**, and **packaging requirements**.



4- Frequency of Use

Single-Use Plans

These are one-time plans specifically designed to address a unique situation or achieve a specific, non-recurring goal. They are developed for a particular project or event that is not expected to be repeated in the future.

Example:

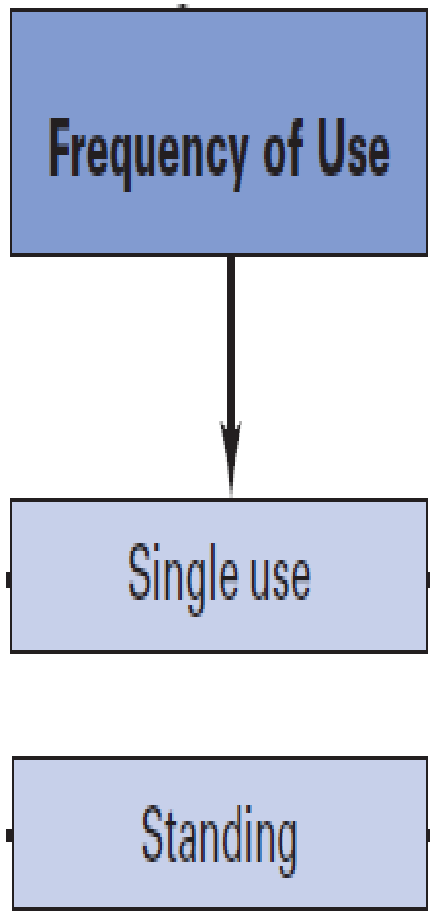
Crisis Management Plan: In the event of a natural disaster or a public relations crisis, a company might develop a single-use plan to address the specific situation, outlining communication strategies, recovery efforts, and steps to mitigate damage.

Standing Plans

These are ongoing plans that provide guidance for activities performed repeatedly. They establish policies, procedures, and rules for handling recurring situations and ensuring consistency in operations.

Example:

Recruitment and Selection Process: A company develops a standing plan outlining the steps involved in recruiting and hiring new employees, including job posting guidelines, interview procedures, and selection criteria. This plan is used repeatedly for each new vacancy.



5- Planning Conditions

Static Plans

These plans are developed based on the assumption that the internal and external environments of the business will remain relatively stable. They are often detailed and rigid, outlining specific actions to be taken in a predictable context.

Example:

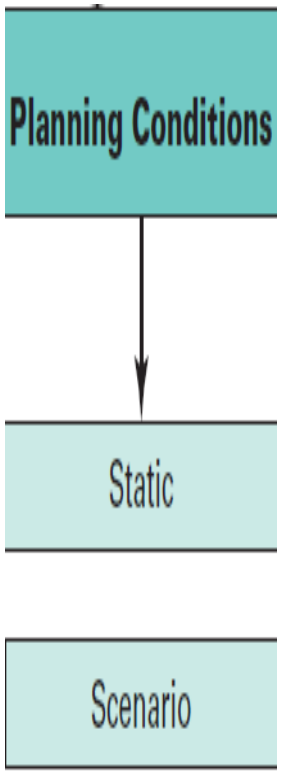
Production Schedule: A manufacturing company with a stable demand for its products might create a static production schedule for the year, outlining the quantity of goods to be produced each month based on historical data and current capacity. This plan assumes no major changes in demand, resource availability, or production technology.

Scenario Plans

These plans involve making assumptions about the future and determining how the company will respond to different possible scenarios. They recognize that the business environment is dynamic and unpredictable, requiring flexibility and adaptability.

Example:

Contingency Planning for Supply Chain Disruptions: A company that relies on global supply chains might develop scenario plans to address potential disruptions, such as natural disasters, geopolitical instability, or pandemics. Each scenario plan outlines alternative sourcing strategies, inventory management approaches, and logistics solutions to mitigate the impact of the disruption.



key contingency factors in planning

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Contingency Factors in Planning

Organizational Size

Planning varies from formal to informal based on organization size.

Organizational Structure

Centralized vs. decentralized planning affects goal setting.

Leadership Style

Autocratic vs. participative leadership influences planning rigidity.

Environmental Uncertainty

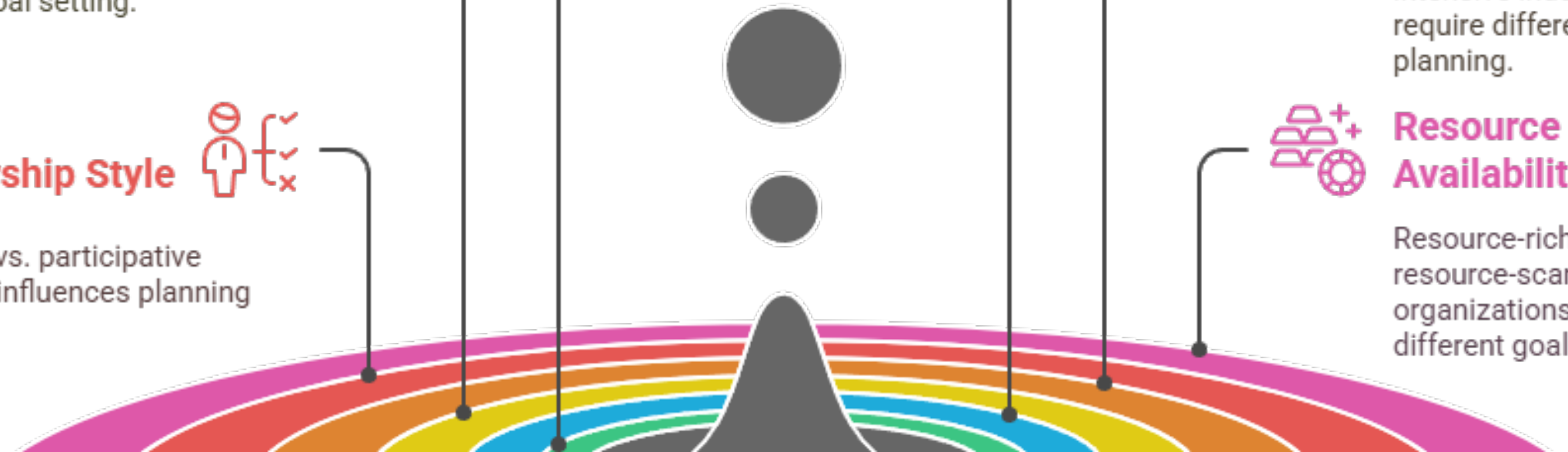
Plans adapt from rigid to flexible in stable or dynamic environments.

Industry and Technology

Fast-paced vs. capital-intensive industries require different planning.

Resource Availability

Resource-rich vs. resource-scarce organizations set different goals.



key contingency factors in planning

1. Organizational Size and Complexity

•Larger organizations require formal, hierarchical plans with clear delegation,

•Smaller firms can rely on informal, flexible planning.

- **Example:** A multinational corporation uses detailed 5-year strategic plans, while a startup adjusts its roadmap quarterly based on market feedback.

2. Environmental Uncertainty

•In stable environments (e.g., utilities), long-term, rigid plans work.

•In dynamic environments (e.g., tech), plans must be adaptive.

- **Example:** A retail chain in a stable market plans store expansions years in advance, while a cybersecurity firm updates its strategy monthly to counter new threats.

key contingency factors in planning

3. Organizational Structure

•Centralized structures (top-down planning) vs. decentralized structures (team-level autonomy) shape planning styles.

- **Example:** A government agency follows strict centralized planning, while a creative agency empowers teams to set their own project milestones.

4. Industry and Technology

•Fast-paced industries (e.g., AI) need agile planning,

•while capital-intensive industries (e.g., manufacturing) focus on long-term asset planning.

- **Example:** A car manufacturer plans factory upgrades over 10 years, while a SaaS company iterates product features every 2 weeks.

key contingency factors in planning

5. Leadership Style

•Autocratic leaders may impose rigid plans

• while participative leaders collaborate with teams to set goals.

- **Example:** A founder-driven startup's plan reflects the CEO's vision, whereas a cooperative business builds consensus among members.

6. Resource Availability

•Limited budgets, staff, or tools constrain planning.

•Resource-rich organizations can pursue ambitious goals.

- **Example:** A nonprofit with scarce funding plans a low-cost social media campaign, while a Fortune 500 company invests in a global ad blitz.

Practical Implications for Managers

1. **Assess the Context First:** Evaluate environmental stability, resources, and culture before drafting plans.

2. **Balance Flexibility and Structure:** Use agile methods (e.g., rolling forecasts) in uncertain environments.

3. **Align with Capabilities:** Avoid overcommitting to goals that exceed current resources or skills.

4. **Engage Stakeholders:** Involve teams, investors, and customers to ensure buy-in and relevance.

Thank
YOU!